Blue Apron

Situational Analysis Report

By Elize Cardona, Kaija Hjelm, Cailin Kuhn, Suprina Kabadkar, and Cecilia Wong

Company and Brand Research

Blue Apron Holdings, Inc. is a New York-based ingredient-and-recipe meal kit subscription service (and a subsidiary of food delivery startup Wonder Group since November 2023) that bridges convenience and home cooking by acting as a happy medium. Blue Apron promises to make home cooking more accessible through chef-designed recipes, fresh and high-quality ingredients, and simple convenience. (Team TBH, 2024)

Product

Blue Apron's service is a meal kit delivery service. The company sends pre-measured quality ingredients and chef-designed recipes straight to the consumer's door so that they can cook them at home. This is not just framed as a convenience but also as a way to healthier, more personalized home-cooked meals, with less waste because the ingredients are already pre-proportioned. Blue Apron also offers wine pairing options with their meal kits, as well as video tutorials and cooking tips, which enhance the experience of the core functionality of the company. (Team TBH, 2024) (Scalco, 2021)

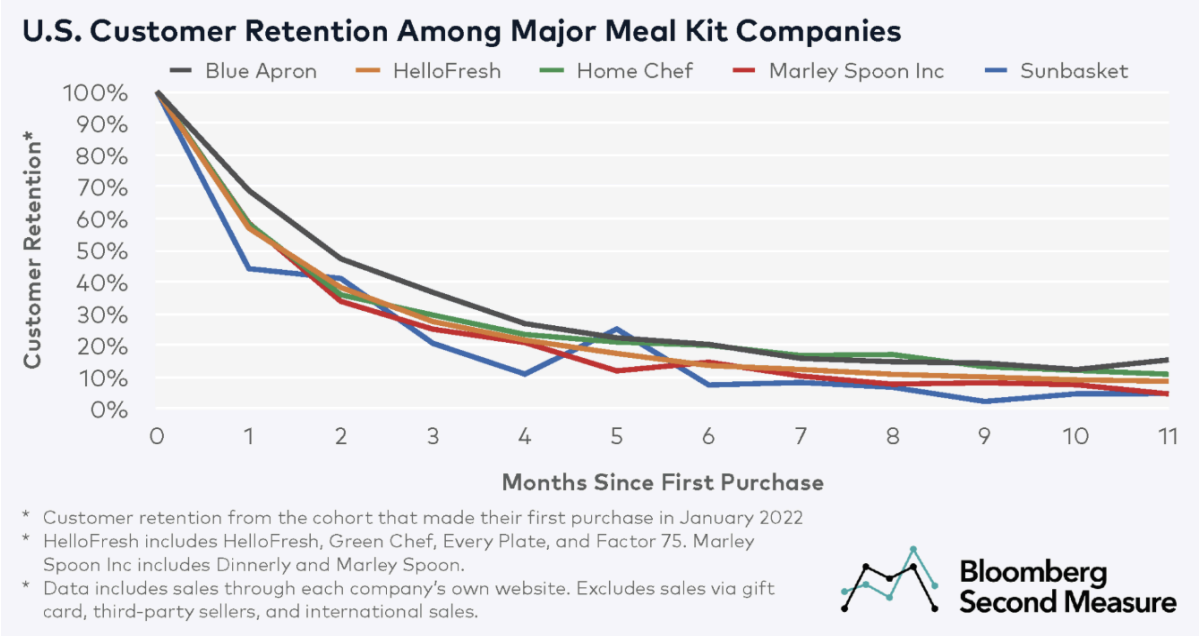
Through packaging, the brand continues to emphasize the importance of combined sustainability and quality. Blue Apron designs its packaging to ensure that all the ingredients remain cold and protected in terms of their quality, taking into account your location and the current season of the year, so you don't need to worry about the condition of the ingredients upon their arrival. This protects the quality of the ingredients and also prevents food waste. In addition, most of the Blue Apron packaging can be recycled, which further underlines the goal of sustainability. (Scalco, 2021)

In August of 2025, Blue Apron announced a significant revamp of its business model, shedding the subscription-only constraint that the company had been founded on. It also greatly expanded its offerings and digital user experience to offer more individual flexibility. This marks a brand evolution from a more locked-in meal kit towards a broader brand based on meal solutions. (Hultgren, 2025)

Price

Blue Apron's pricing is based on a subscription or per-serving model, with their pricing falling into what would be considered "mid-range." Current cost per serving varies based on the ingredients and complexity of the recipe, though generally it tends to be around $10 to $11 per serving. This would be more than the cost of groceries, but cheaper than many takeout or restaurant alternatives, especially when considering the component of the healthier, higher-quality options Blue Apron provides. (Blue Apron, 2025)

The company frequently uses promotional offers and discounts for first-time customers as a way of attracting new customers to its service. However, the company (and the larger meal kit industry) suffers a lot with the actual retention of customers. Though not officially provided by the company, recent estimates suggest that Blue Apron's CPA (cost per acquisition) could range anywhere from $150 to over $400 as a result of their greatly increased marketing spend. ("A Solution to Blue Apron's Retention Problem," 2024) Customer churn, which is the rate at which customers stop using a service, is also a significant challenge for Blue Apron and other meal kit companies. Of customers who made their initial purchase in January 2022, only 69% returned to Blue Apron the following month to make another purchase. After 11 months, the customer retention rate of that January 2022 group sank to just 15%, implying a roughly 85% churn. These low retention rates could be attributed to the customer determining that the commitment to that price doesn't fit their budget, or the appeal of meal kits might just wear off over time.



(Perri, 2023)

It is worth noting, though, that Blue Apron does have the highest customer retention rate out of the other meal kit companies in that test, including HelloFresh, Home Chef, Marley Spoon Inc., and Sunbasket. This is most likely due to the fact that Blue Apron does offer the option to purchase meal kits without a subscription, which is a large strength in terms of customer retention. So by abandoning that strict subscription lock-in, Blue Apron has the potential to gain more pricing flexibility with its discounting and loyalty incentives. (Perri, 2023)

Place

Blue Apron is a purely digital and home delivery service, with no physical retail storefronts in the traditional sense. Orders are placed online through the company's website or mobile app, and meals are delivered by refrigerated shipping directly to the customer's home.

The company's lack of a brick-and-mortar presence means that the brand experience lies completely in the digital world and then at the customer's doorstep. So the brand has to prioritize digital

user experience and well-thought-out packaging design because they are essentially the only touchpoints the brand has. (Blue Apron, 2025)

Promotion

Blue Apron's promotional strategy has always been focused on the digital world. The company uses social media, email marketing, and influencer sponsorships to drive interest and hopefully engagement with the brand. Oftentimes, this use of digital marketing will involve creating content that supports the brand identity of Blue Apron. Their Instagram page, for example, contains many videos of people making the recipes available through Blue Apron. They also post more playful content to drive engagement, such as various references to pop culture or little relatable memes. (Team TBH, 2024) (Blue Apron, 2025)

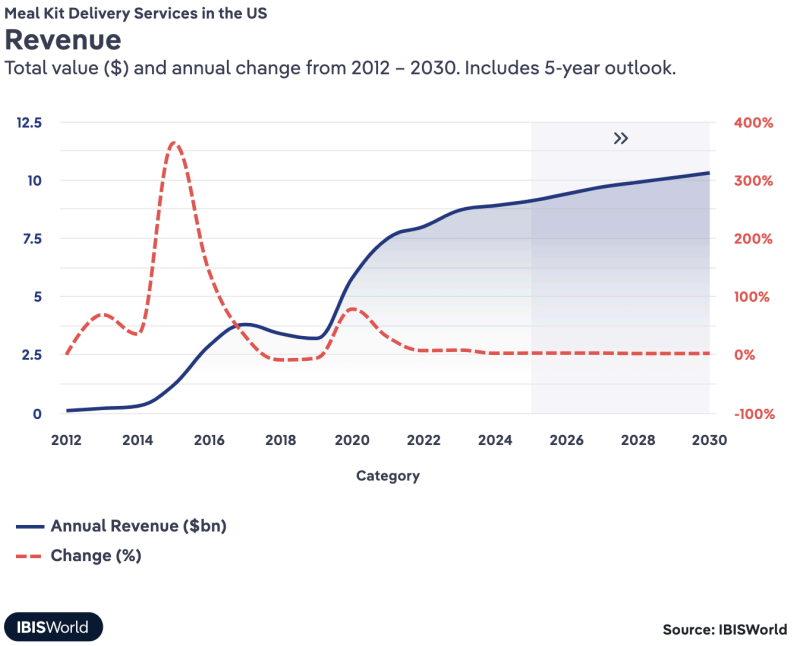
As of this year, Blue Apron has made the move to internalize its influencer marketing operations, bringing them in-house to reduce costs while simultaneously gaining more creative control. The company announced its plans to "own the feed" across social media, combining user-created content with paid and organic marketing strategies. (McCoy, 2025)

Market and Competitor Research

Industry Revenue

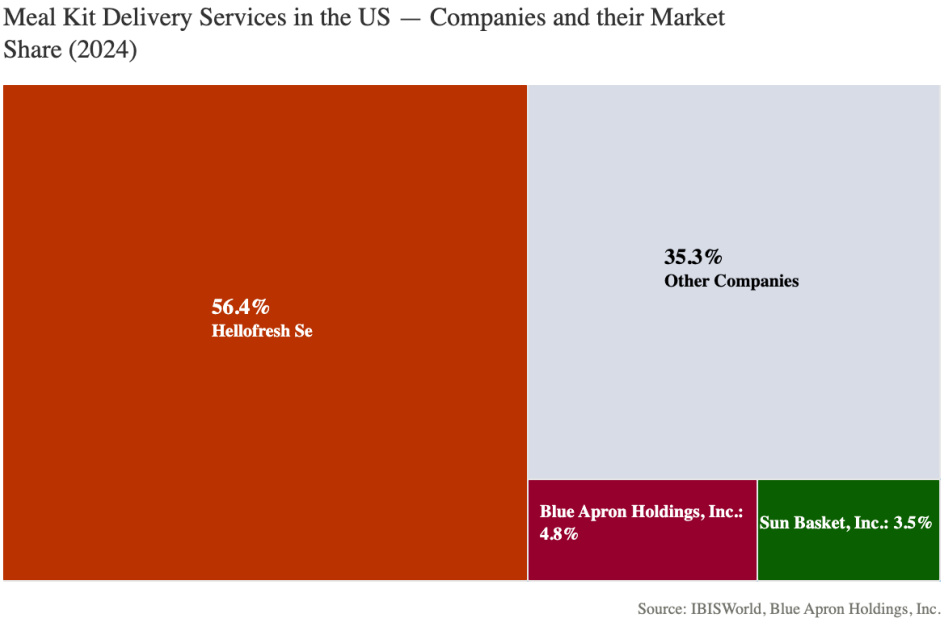
The meal kit delivery industry provides customers with meals mailed to their households, with subscription options available. These packages include the fresh, pre-portioned ingredients for the meals the customers selected beforehand, along with the recipe sheet. They can then cook the meals themselves without the hassle of planning a recipe, grocery shopping, and leftover grocery waste. Some companies also provide microwavable, premade meal options.

The meal kit industry continues to grow in 2025, with revenue increasing 2.8% to be a $9.1 billion industry. However, this does present a gradual slowdown in the yearly revenue percent increase, compared to the industry's most dramatic recent growth from 2020's 78.3% increase (Posada, J. 2025). Although in recent years the industry's annual revenue has continued to increase and is predicted to continue that way, the percent annual change has shown and is also predicted to continue its gradual decrease.



Top Competitors

The market is currently dominated by Hello Fresh Se, as they held 56.4% of the market share in 2024. One of the reasons they dominate this market is that they control a total of eight companies, with Hello Fresh being their most successful. Their other large subsidiaries include Factor75 and Green Chef Corp. Outside of Hello Fresh Se, major competitors in the industry include Sun Basket Inc., holding 3.5% of the market share, and Relish Labs LLC (Posada, J. 2025).



Most important to the project is a comparison of the consumer's interest when selecting a meal kit delivery service. The following table is a comparison of Blue Apron and its five major competitors against the average price per serving of their meals, their total meal options per week, their shipping price per weekly order, and their discounts as of October 13, 2025. These also include any student discounts. For some companies, their information was unable to be confirmed without an active subscription. This is reflected in the chart.

Table 1

Competitor Comparison of Consumer's Interests

Name	Blue Apron	Hello Fresh	Sun Basket	Factor	Green Chef	Home Chef
Price per serving	$10.86	$11.99	$11.33 - $20	$13.99	$11.99	$9.99
Meal Options per week	33	90	28	48	44	+35*
Shipping Price	$9.99	$10.99	$10.99	$10.99	$10.99	$10.99
Discounts	-$9.99 a month and get free shipping -20% off first 2 orders	-students 55% on First Box, First Box Ships Free, on-going 15% Off for 52 weeks -no shipping for first box -50% first box	-$90 off across 4 boxes + free shipping	-50% off your first box + Free Breakfast item for 1 year -students: 50% Off First Box + Free Shipping + 10% off the next 12 boxes	-50% Off on first box -students 55% Off First Box + Free Shipping + 15% off for next 12 boxes	-15 Free Meals + Free Shipping -students 50% off first 4 boxes

Note. *Cannot confirm data. The data for price per serving, meal options and discounts from Blue Apron is from *Weekly menu for Oct 13-19* by Blue Apron (https://www.blueapron.com/menu). The data for Blue Apron Shipping price is from *Complete your order* at Blue Apron (https://www.blueapron.com/checkout). The data from Blue Apron Discounts is from *Blue apron+ | get unlimited $0 shipping fees, perks and more* by Blue Apron (https://www.blueapron.com/membership). Price per serving, shipping price, and discounts for Hello Fresh is from *Meal kit delivery plans & food boxes: Hellofresh*. by HelloFresh. (https://www.hellofresh.com/plans?c=G1-FOP8B61WT&step=8). The meal options for Hello Fresh can be found at *Menu for Oct 18 - 24* by HelloFresh (https://www.hellofresh.com/menus). Discount information can be found at *STUDENTS GET 55% OFF ON YOUR FIRST BOX!* by HelloFresh For College Students - Cooking As Easy As Eating (https://lp.hellofresh.com/landing/student). The data for price per serving and shipping price is from *Your First Order* by Sunbasket (https://sunbasket.com/join/checkout). The data for meal options and discounts for sunbasket is from *Menu for the week* by Sunbasket. (https://sunbasket.com/menu). The data for price per serving and discounts is from *Select meals per week* by Factor (https://www.factor75.com/plans…).

The data for Factor's meal options is from *Factor Menus & Meal Plans: Customize Your Culinary Experience* by Factor (https://www.factor75.com/about/menus-and-plans…). The data of shipping for factor is from Factor review: Meal prep, food delivery, and our hands-on review. By McGrane. (https://www.healthline.com/nutrition/factor-75#how-it-compares). The data for Factor's discounts comes from *Factor 50% student discount: Oct 2025 Student Beans Code* by Student Beans. (https://www.studentbeans.com/student-discount/us/factor75). The data for price per serving, meal options per week, shipping price, and discounts for Green Chef is from *Our Plans* by Green Chef (https://www.greenchef.com/plans?c=9J-VI89L&c_comms=PERCENT&discount_comm_id=122687d8-29cb-4b92-87c8-b5e9a6f57b65&mealsize=2-3). The data for price per serving, meal options per week, shipping price, and discounts for Home Chef is from *Home Chef* by Home Chef (https://www.homechef.com/).

In all, college students are generally tight on money and may make decisions based on the cheaper option. Home Chef is the cheapest in price per serving. Hello Fresh seems to have the most meal options. Blue Apron is cheapest when it comes to shipping, including the shipping subscription they offer. All of the Hello Fresh Se companies offer student discounts; however, the best deal seems to be Hello Fresh as it has an ongoing 15% off deal to students.

Consumer Research and Target Persona

Consumer Research

Blue Apron's target population and consumer research are based on leading market research sources, with an emphasis on young, time-constrained adults, particularly urban Millennials, and families searching for easy meal preparation. Blue Apron's main target audience and demographic includes the following categories:

Consumers

According to a primary source, Mintel, young adults, especially Millennials, have a favorable opinion of meal kits and place a high value on efficiency because they lead hectic lives between work and personal obligations while placing a high value on convenience. Busy professionals and city people who want home-cooked meals with little preparation or cleaning but don't have the time or want to go grocery shopping (Witherington, A. 2025). New parents and young families are frequently the target of family plan advertising and internet platforms as they strive to provide wholesome meals and meaningful family time. Due to perceived obstacles like cost and membership commitment, older folks and cost-conscious consumers are underrepresented.

Demographics

Consumer demographics (gender, age, occupation, income, and education) consist of individuals in the age range (in the meal kit sector) from 35 to 44 ($2.2 billion, 24.8%), ages 65 and up ($1.9 billion, 21.8%), followed by ages 45–54 ($1.7 billion, 19.8%), ages 55–64 ($1.7 billion, 19.7%), ages 25–34 ($1.1 billion, 12.9%), and ages 18 to 24 ($86.8 million, 1.0%), which is from the IBISWorld source (Posada, J. 2025). Predominantly, meal packages are more convenient and cost-effective for urban dwellers with busy work schedules who often travel or reside in cities than eating out, as explained in the

Blue Apron goes public, article in Mintel (Cavato, 2017). People with demanding jobs or busy parents are more likely to sign up for a meal kit subscription plan because of their larger residences, greater incomes, and restricted spare time. *Blue Apron Customer Distribution by Age Group* (Statista, 2022). This chart shows that while the largest single segment is adults aged 35-44, there is a significant presence of customers in the 18-34 range, making up over 30% of Blue Apron's audience—a group that includes college students and young, newly independent adults. This data visually reinforces how these younger groups are a small but critical growing demographic for Blue Apron.

Geographics

Blue Apron's geographic presence is overwhelmingly urban-focused, with the largest concentration of business establishments found in major states such as California (17.5%), Florida (9.9%), New York (8.6%), and Texas (6.7%), reflecting both high population densities and a culture geared towards convenience and remote work. According to IBISWorld data, regional market share is led by the West (24% of all establishments), followed by the Southeast (22.8%) and the Mid-Atlantic (16.8%), while the Great Lakes, Southwest, Rocky Mountains, Plains, and New England comprise smaller portions. Major urban centers like Los Angeles, Miami, New York City, and Philadelphia anchor this distribution due to high demand, infrastructure advantages, and concentrations of busy professionals. By contrast, states such as Alaska, North Dakota, and West Virginia show minimal industry presence, illustrating the logistical and demographic limitations in rural and less densely populated regions. This distribution aligns with business strategies that leverage proximity to key urban suppliers and customers in dynamic metropolitan areas, as detailed in the IBISWorld meal kit delivery geographic breakdown.

Psychographics

Blue Apron is increasingly targeting the younger audience, which is single-person households and students who manage their own schedules, budgets, and nutrition. Specifically, college students who lack

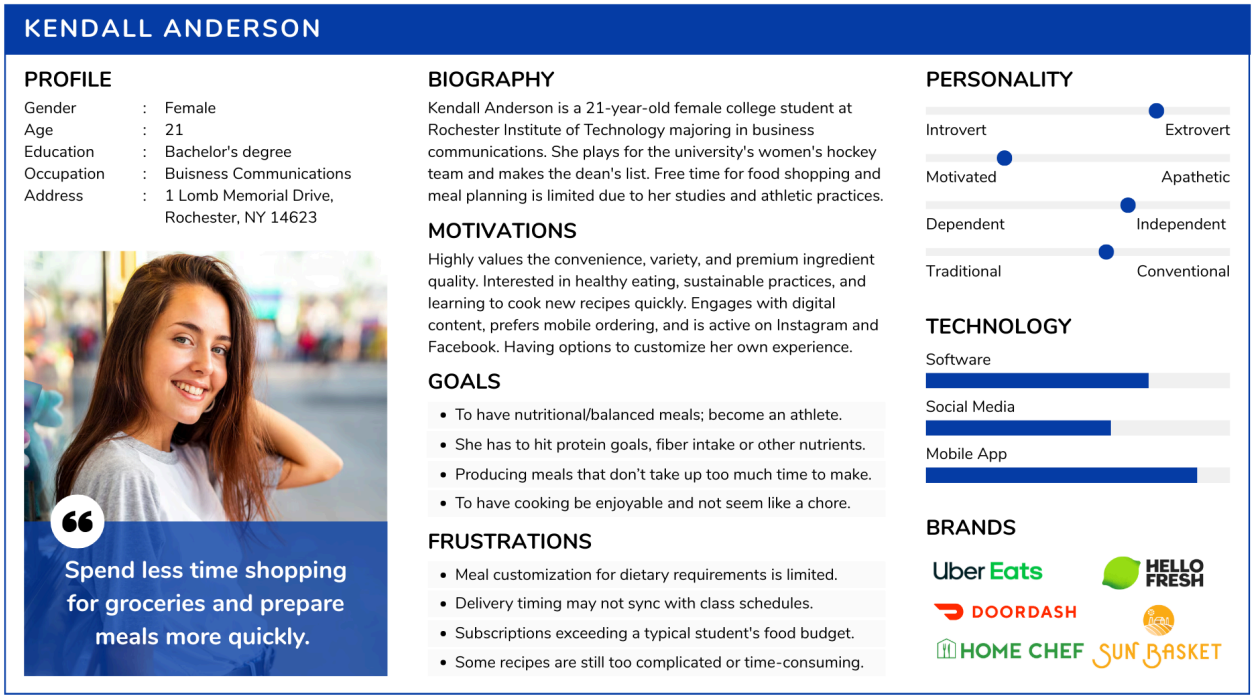
access to healthy, affordable dining options with consideration for dietary needs on college campuses and therefore are open to convenient solutions like meal kits and food delivery apps. According to the *Independent* article, most independent young adults prioritize quick meal prep, minimal cleanup, and flexibility in ordering, making Blue Apron's subscription-free service highly attractive (Keller 2025). They seek nutritious, customizable meal options and enjoy experimenting with new simple recipes while maintaining their dietary preferences without sacrificing healthy eating. Dependence on smartphones and mobile ordering is high, so their purchasing behavior is heavily influenced by social media, online reviews, and digital marketing. They value experiences that can be shared, posted, or recommended online, as they are outgoing, driven, and socially active in their community groups on campus. Independent living brings about a greater appreciation for personal brand, dietary discovery, and convenience, which are closely aligned with Blue Apron's meal kit value propositions.

Main Target Audience

Essentially this goes to our main demographic we are reaching out to, which is 18-24-year-old young adults who are experiencing independence for the first time. Combining college students with Blue Apron's main target market enables the company to strategically target young, convenience-driven clients who are eager to learn how to manage their own eating and wellness habits along with their busy schedules in front of them. The current target audience for meal kit delivery services is parents who have demanding jobs and don't have much time to go grocery shopping or prepare recipes. However, we want to focus on young adults who are living on their own for the first time while learning how to cook and prepare healthy meals. Therefore, after further research on the meal delivery kit market from *Meal Delivery Kit Market Insights* (Verified Market Reports, 2025), we aim to focus on the benefits sought out from the consumers in this area, such as homemade, nutritious meals and cooking skills gained/achieved; tailored recipes; and most importantly, convenience.

Target Persona

Our featured target persona is Kendall Anderson, a 21-year-old female college student at Rochester Institute of Technology majoring in business communications. Her hobbies and interests include gardening, vegetation/plants, and hockey. Her personality characteristics are lively, eager, driven, and motivated. Her specific goals are to maintain a healthy, balanced diet; to become an athlete who must satisfy protein and fiber requirements; and to produce meals that do not take a long time, so cooking becomes more enjoyable than feeling like a chore. She could use Blue Apron to streamline her meal preparation, allowing her to maintain a healthy, balanced diet that meets her specific protein and fiber needs essential for athletic performance. The service offers her convenient, pre-portioned ingredients and easy-to-follow recipes that save time, making cooking enjoyable and efficient rather than a burden. Blue Apron's customizable meal options can also allow Kendall to incorporate her interest in fresh, plant-based foods aligned with her passion for gardening and vegetation. Kendall can focus on her studies, training, and hobbies while ensuring nutritional goals are met, balancing her lively and motivated personality with her functional meal needs.



SWOT Analysis for Blue Apron Inc.

Strengths

The first strength that Blue Apron has is that it is a known brand in the meal kit industry, meaning that people will have brand recognition towards it. Customers will be more likely to buy from them because they trust them and they have a good reputation among other consumers. They have loyal customers who support them and advertise their brand as being a reliable one to other people. On their website on the About Us page (Blue Apron, We believe), they advertise themselves as being focused on getting quality ingredients for their meal kits. Which is very appealing to people who don't have time to look for the most healthy/quality foods. This also attracts people who value health and the environment. They also provide convenience for people who have busy lifestyles and make a way for them to save time on meal prep and shopping. Also helping to create less waste with their pre-portioned kits.

Weaknesses

According to Ibis World (Posada, J. 2025), the profit margin for Blue Apron is $-64 million. Which is low compared to other companies in the market, showing that they might not be as profitable as others or not manage expenses as well. Also, according to Ibis (Posada, J. 2025), their market share growth is -21.5%, which is in the bottom half of the industry. They overall underperform in profitability compared to their competitors. Since the meal kit industry is highly competitive, they have to spend a significant amount of money trying to acquire new customers and getting past customers to stick around and keep paying for the subscription. It's also hard to obtain a good profit margin in the industry due to paying for expenses like worldwide shipping and the quality ingredients that they value. Also relying on this single source of income for the company can limit the amount of money you are going to make and having more variety of the services is usually beneficial, which Blue Apron does not have. In recent years

the meal kit industry has become more saturated with companies, which is making it harder for Blue Apron to acquire customers because of all the other competitors entering the space.

Opportunities

According to Ibis World (Posada, J. 2025), there is a low customer class concentration for Blue Apron, which means that they have more options when it comes to customers they can acquire. They don't have to consider so much about what people's classes are. There are also low import costs on the products that they need. They can also look into doing more in terms of what's trending for food at the time since they offer different meals every week. Staying up with dietary trends can give them a leg up on competitors. Expanding to retail stores could also be beneficial by offering even more brand recognition from seeing their meal kits in trusted grocery stores. Offering discounts for college students/young adults can open up their market more and attract new customers who aren't buying meal kits now. Getting more involved with the people through technology and doing stands at schools/stores can help attract people and grow interest in their product.

Threats

One of the biggest threats that Blue Apron faces is the amount of competition that they have, especially from Hello Fresh, which takes up a vast majority of the meal kit industry, making it very difficult to get ahead of them. Going along with competition from other meal kit companies, there is also beginning to be competition from grocery stores that are doing orders. online services allowing customers to order all the ingredients they may need from stores. According to Ibis World (Posada, J. 2025), the market is a very high volatility market, which means that the prices within it can vary/fluctuate often. This makes it hard to profit more overall. The market also has high capital requirements, which can lead to more expenses that they have to pay and less profit that they will see.

Strengths	Weaknesses	Opportunities	Threats
• Known brand/brand recognition • Loyal customers • Quality ingredients • Value health and environment • Convenient for people to use • Create less waste with portioned meals	• Profit margin is $-64 million • Market share growth is -21.5% • Highly competitive industry • Lots of expenses to pay for which makes a good profit margin hard to achieve • Single source of income • Market is saturated with new companies	• Low customer class concentration • Low import costs on goods • Look into what food trends there are center meals around that • Expand into retail stores/grocery stores • Offer discounts to college students • Get involved through social media and online presence	• Lots of competition in industry • Competition from grocery stores • Very high volatility market • High capital requirements

References

A Solution to Blue Apron's Retention Problem. (2024, March 5). Retrieved October 16, 2025, from SaaSquatch website: https://www.saasquatch.com/blog/blue-apron-addicted-to-acquisition/

Blue Apron. (n.d.-a). *Blue apron+ | get unlimited $0 shipping fees, perks and more*. Blue Apron. https://www.blueapron.com/membership

Blue Apron. (n.d.-b). *Complete your order*. Blue Apron. https://www.blueapron.com/checkout

Blue Apron. (n.d.). *We believe that a great meal can change your day.* Blue Apron. https://www.blueapron.com/pages/vision

Blue Apron. (n.d.). *Weekly menu for Oct 13-19*. Blue Apron. https://www.blueapron.com/menu

Blue Apron Holdings, Inc. IBISWorld. (n.d.). https://my.ibisworld.com/us/en/company-benchmarking/429816/us-od6152

Blue Apron (@blueapron) • Instagram photos and videos. (2017). Retrieved October 17, 2025, from Instagram.com website: https://www.instagram.com/blueapron/

Factor. (n.d.-a). *Factor Menus & Meal Plans: Customize Your Culinary Experience*. https://www.factor75.com/about/menus-and-plans?c=BREAK-EX&dis_channel=seabrand&discount_comm_id=cb29ead0-524f-4300-a211-ce6ce4edf4fc&gad_campaignid=7720237664&gad_source=1&gbraid=0AAAADoOaVES1u0ZSUuff1QN83fa9fu4O&gclid=Cj0KCQjwo63HBhCKARIsAHOHV_XmCuWK5AqDQLxmfOPf3D73Zln3w76P3ZdFqmbHpsyd4d2eACWeGXsaAkOsEALw_wcB&mealsize=1-8&utm_campaign=GLG_FJ_google_Act_2025_Brand_WK30_BTS_50offFreeBreak&utm_content=act_paidsearch_seabrand&utm_medium=cpc&utm_source=google&version=sea&wknd=50p

Factor. (n.d.-b). *Select meals per week*. Factor. https://www.factor75.com/plans?c=BREAK-EX&dis_channel=seabrand&discount_comm_id=cb29ead0-524f-4300-a211-ce6ce4edf4fc&gad_campaignid=7720237664&gad_source=1&gbraid=0AAAADoOaVES1u0ZSUuff1QN83fa9fu4O&gclid=Cj0KCQjwo63H

BhCKARIsAHOHV_XmCuWK5AqDQLxmfOPf3D73Zln3w76P3ZdFqmbHpsyd4d2eACWeGXsaAkOsEALw_wcB&mealsize=1-8&utm_campaign=GLG_FJ_google_Act_2025_Brand_WK30_BTS_50offFreeBreak&utm_content=act_paidsearch_seabrand&utm_medium=cpc&utm_source=google&version=sea&wknd=50p&step=7

GreenChef. (n.d.). *Green chef: Meal delivery with organic produce & premium proteins*. https://www.greenchef.com/

HelloFresh. (n.d.). *STUDENTS GET 55% OFF ON YOUR FIRST BOX!*. HelloFresh For College Students - Cooking As Easy As Eating. https://lp.hellofresh.com/landing/student

HelloFresh. (n.d.). *Meal kit delivery plans & food boxes: Hellofresh*. HelloFresh. https://www.hellofresh.com/plans?c=G1-FOP8B61WT&step=8

HelloFresh. (n.d.-b). *Menu for Oct 18 - 24*. HelloFresh. https://www.hellofresh.com/menus

Home Chef Meal Delivery Service, fresh ingredients to cook at home. Home Chef. (n.d.). https://www.homechef.com/

Hultgren, K. (2025, August 22). Blue Apron Sheds Subscription Model, Expands Offerings in Brand Relaunch. Retrieved October 16, 2025, from Chief Marketer website: https://www.chiefmarketer.com/blue-apron-sheds-subscription-model-expands-offerings-in-brand-relaunch/

McCoy, K. (2025, August 25). What Blue Apron's move to in-house its influencer marketing strategy says about the creator economy. Retrieved October 17, 2025, from Digiday website: https://digiday.com/marketing/what-blue-aprons-move-to-in-house-its-influencer-marketing-strategy-says-about-the-creator-economy/

McGrane, K. (2025, September 15). *Factor review: Meal prep, food delivery, and our hands-on review*. Healthline. https://www.healthline.com/nutrition/factor-75#how-it-compares

Perri, J. (2023, January 27). Competition heats up among meal kit companies like Blue Apron and HelloFresh - Bloomberg Second Measure. Retrieved October 16, 2025, from Bloomberg Second

Measure website: https://secondmeasure.com/datapoints/meal-kit-competitors-blue-apron-nyse-aprn-hellofresh-customer-retention-market-share/

Posada, J. (2025, October). Meal Kit Delivery Services in the US. Retrieved October 2025. https://my.ibisworld.com/us/en/industry-specialized/OD6152/at-a-glance

Scalco, D. (2021, April 4). Blue Apron Review: Is The World's Biggest Food Delivery Service Also The Best? | Food Box HQ. Retrieved October 16, 2025, from Food Box HQ website: https://foodboxhq.com/reviews/blue-apron/#:~:text=About%20Blue%20Apron%20&%20How%20It,you%20prefer%20to%20receive%20them.

Student Beans. (n.d.). *Factor 50% student discount: Oct 2025 Student Beans Code*. Student Beans. https://www.studentbeans.com/student-discount/us/factor75

Sunbasket. (n.d.-a). *Menu for the week*. Sunbasket. https://sunbasket.com/menu

Sunbasket. (n.d.). *Your First Order*. Sunbasket. https://sunbasket.com/join/checkout

Team TBH. (2024, March 11). Marketing Strategies and Marketing Mix of Blue Apron. Retrieved October 16, 2025, from The Brand Hopper website: https://thebrandhopper.com/2024/03/11/marketing-strategies-and-marketing-mix-of-blue-apron/